

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: July 13, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-07-13

BUY

Composite · Valuation: OVERWEIGHT

Target \$157.97 · +32.0% upside

Price \$119.67

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$157.97 (+32.0% vs \$119.67); Median 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT \$157.97	45%
FSA	Strong	Health +0.25 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +80%	15%
Composite	BUY	Score +0.64 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

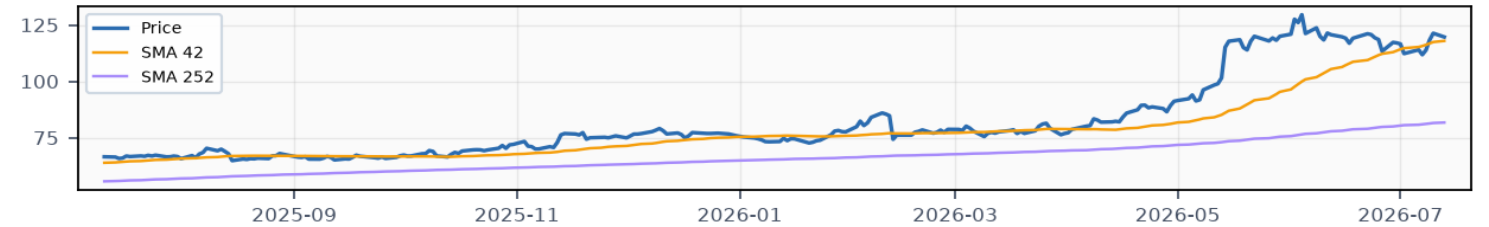
Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **OVERWEIGHT** rating; blended target \$157.97. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$471.67B	Shares Out.	3941.4M
52-Week Range	\$65.75 – \$130.37	P/E (TTM)	39.9x
P/B	9.7x	Beta	1.01
Avg Volume	24.77M	Analyst Rec.	None
Revenue (TTM)	\$60.75B	Rev Growth	+12.0%
Op. Margin	25.0%	FCF (TTM)	\$13.29B
Gross Margin	64.3%	ROE	25.2%
EV/EBITDA	29.1x	Debt/Equity	67.5%
EPS (TTM)	\$3.00	Div Yield	1.4%

PRICE TREND · SMA 42 / 252

CSCO · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	63,452	69,258	74,214
Revenue Growth (%)	N/A	5.3%	12.0%	9.1%	7.2%
Net Income (\$M)	10,320	10,180	11,402	12,445	13,335
Gross Margin (%)	64.7%	64.9%	64.3%	64.3%	64.3%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
EPS (\$)	2.62	2.58	2.89	3.16	3.38
P/E (x)	45.70	46.33	41.37	37.90	35.37

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$117.92	Short-term trend	12m Momentum	+79.7%	
SMA (252d)	\$81.74	Long-term trend	3m Momentum	+45.8%	
RSI (14d)	47.8	Momentum oscillator	Ann. Volatility	25.2%	
Trend	Bullish		Sharpe Ratio	0.67	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+73.7%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$117.92, S...	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	25.2%	B&H; 33.1%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE)	\$72.23	-39.6%	0% (excluded)	DCF diverges >55% below comparable-implied value	Ke · Terminal g	9.54% · 4.00%
					FCFE growth	6.00%
					Equity value	\$284.69B
Comps — Blended (median of multiples + uplift anchors)	\$188.75	+57.7%	—	Profile: Standard operating company	Implied price	\$72.23
					vs. current	-39.6%
Analyst consensus (Yahoo Finance)	\$127.18	+6.3%	—	Included in blend		
Blended target (weighted)	\$157.97	+32.0%	100%	Median 100%; pre-cap \$176.44 -> \$157.97		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$231.33B	62.9x	52.6x	38.3%	+35.1%
MSI	Motorola Solutions, In	\$69.49B	33.8x	22.6x	17.6%	+7.4%
CIEN	Ciena Corporation	\$63.35B	149.7x	83.5x	7.9%	+39.5%
CSCO*	Cisco Systems, Inc.	\$471.67B	39.9x	29.1x	19.7%	+12.0%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (12.0% YoY); Healthy operating margins (25.0%); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.